

Marketing

Chapter 6: Place/Distribution

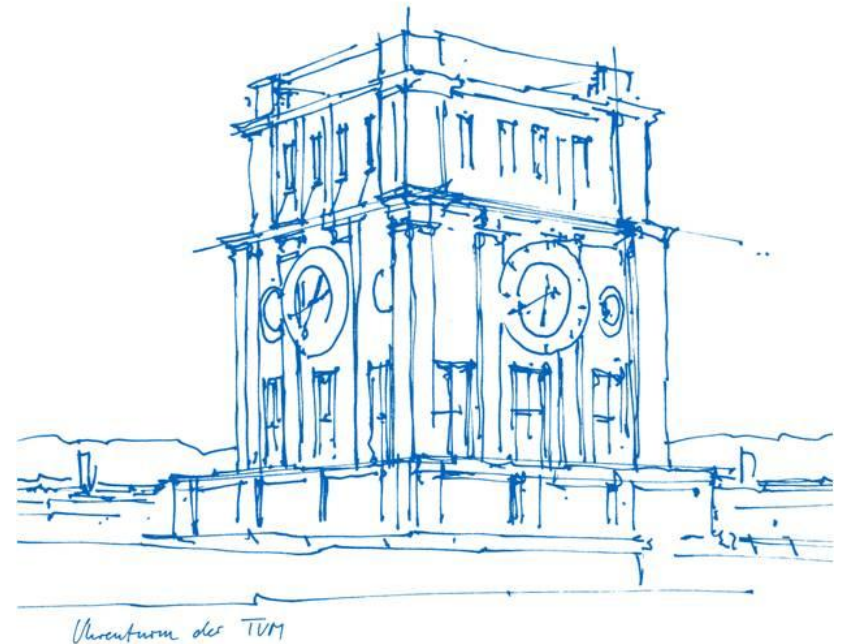
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Technical University of Munich

TUM School of Management

Center for Digital Transformation

Professorship of Digital Marketing

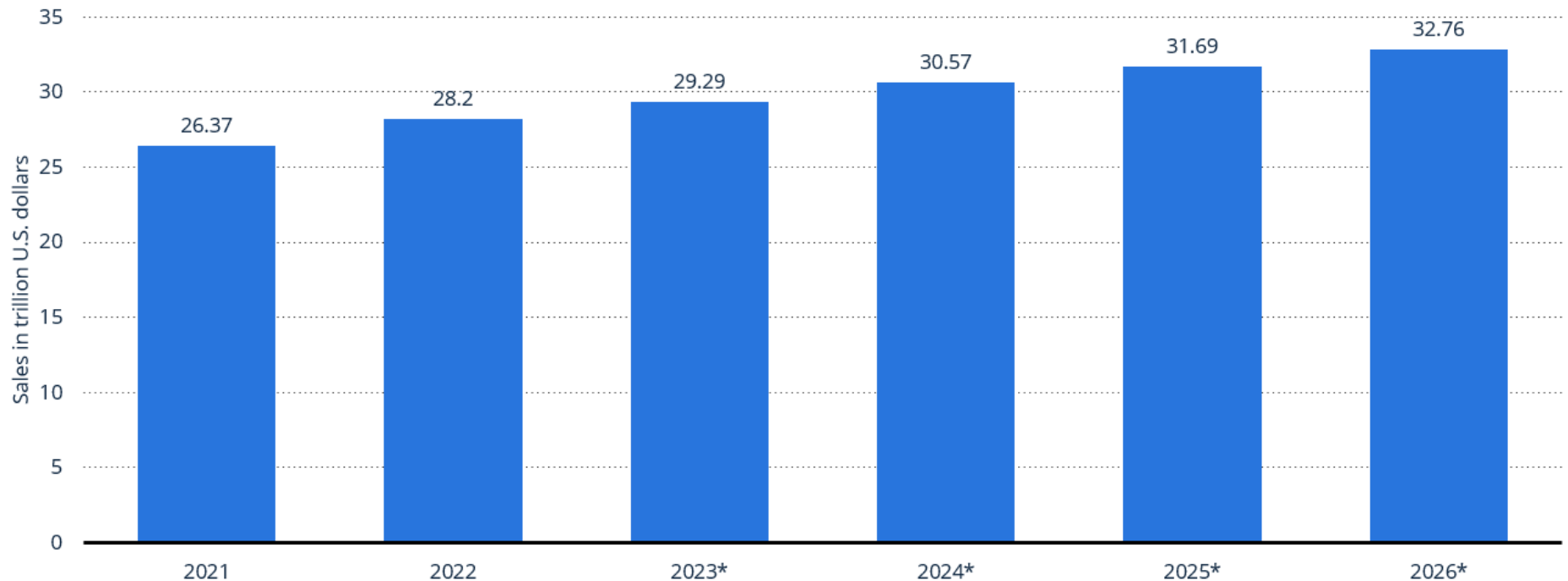


Learning goals

After studying this chapter, you will be able to:

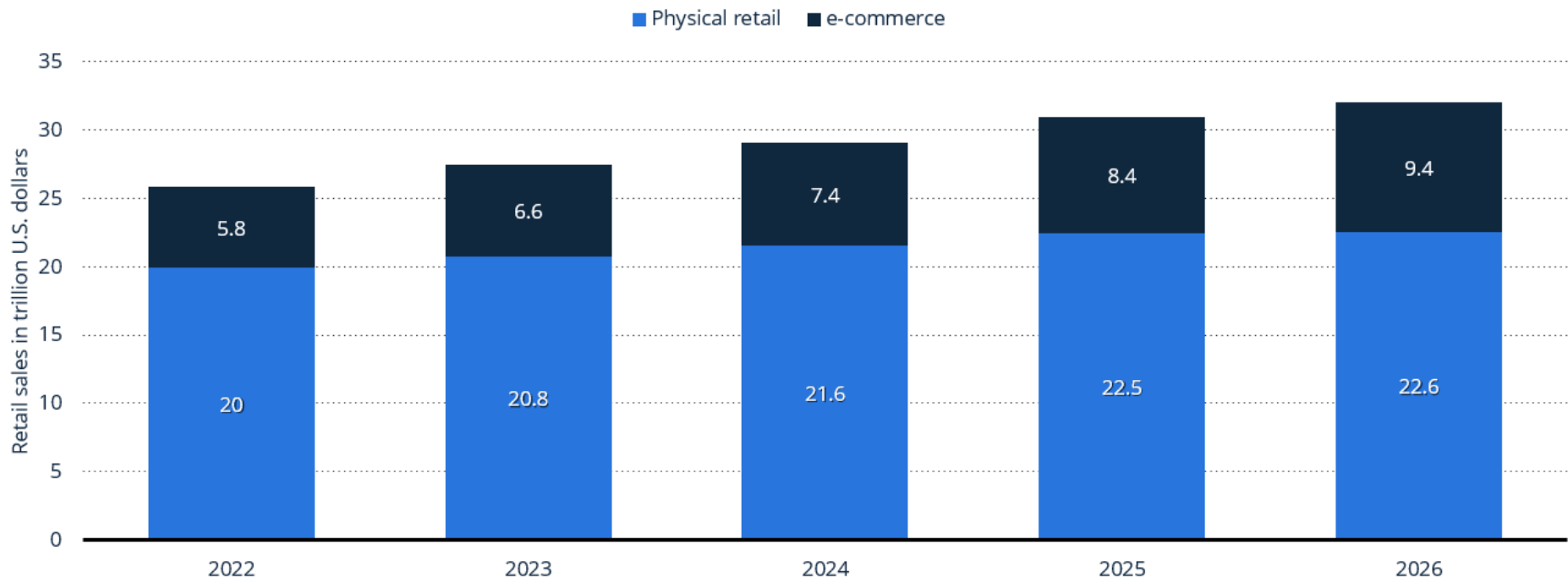
- Explain the central characteristics and elements of sales/distribution policy
- Outline the ideal-typical planning process
- Distinguish and explain the design of sales systems
- Understand different methods for the evaluation of distribution systems
- Explain and differentiate between different types of retail operations
- Name contractual distribution systems
- Explain central elements of logistics systems

Total retail sales worldwide from 2021 to 2026 (in trillion U.S. dollars)



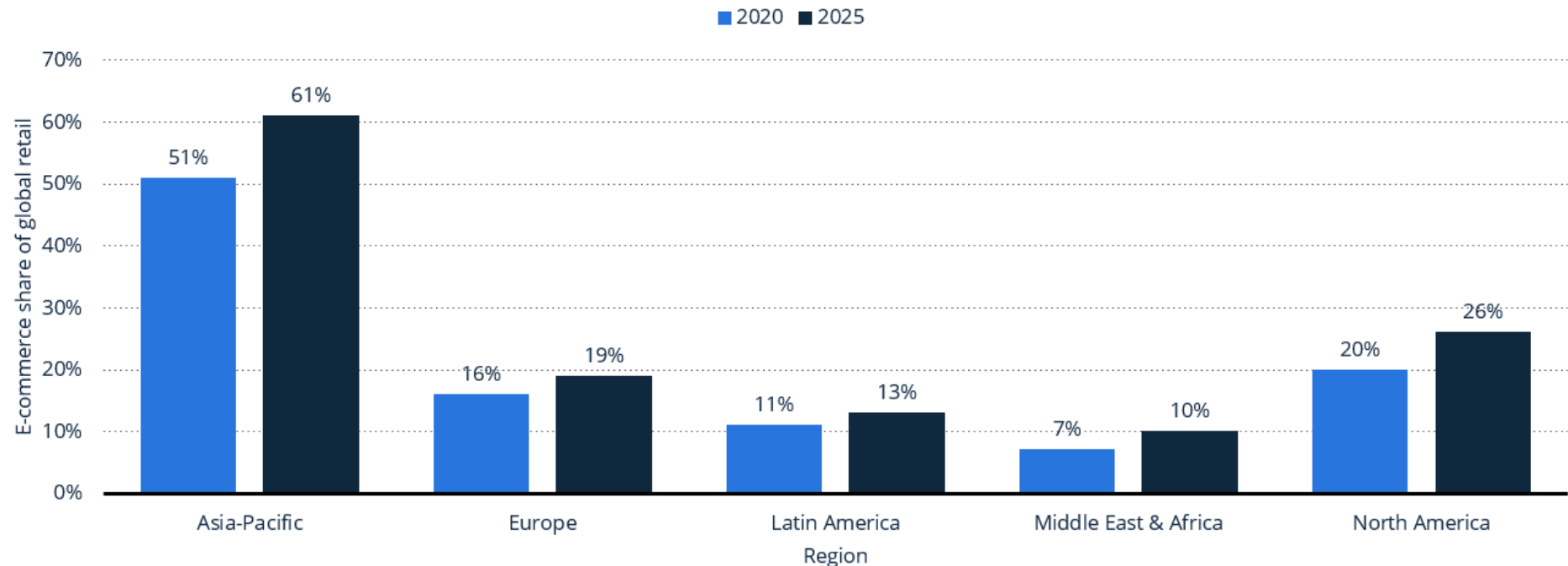
Description: Global retail sales were projected to amount to around 32.8 trillion U.S. dollars by 2026, up from approximately 26.4 trillion U.S. dollars in 2021. The retail industry encompasses the journey of a good or service. This typically starts with the manufacturing of a product and ends with said product being purchased by a consumer from a retailer. Retail establishments come in many forms such as grocery stores, restaurants, and bookstores. [Read more](#)
Note(s): Worldwide; December 2022; * Forecast; [Read more](#)
Source(s): eMarketer

Estimated value of the in-store and e-commerce retail sales worldwide from 2022 and 2026 (in trillion U.S. dollars)



Description: In 2022, the global in-store or brick-and-mortar retail channel generated an estimated 20 trillion U.S. dollars in sales. Total retail sales (online and offline retail) worldwide amounted to around 25.8 trillion U.S. dollars that year. By 2026, it is estimated that the value of e-commerce retail sales will reach 9.4 trillion U.S. dollars on a global scale. [Read more](#)
Note(s): Worldwide; 2022: estimates
Source(s): Activate; Digital Commerce 360; eMarketer; Research and Markets; Statista

Regional e-commerce share of retail in 2020, with a forecast for 2025



Description: A recent study shows that in Asia-Pacific region e-commerce comprised half of the retail sales in 2020, making this region the lead among others. E-commerce share of retail in North America and Europe followed Asia-Pacific with 20 percent and 16 percent, respectively. Share of e-commerce in retail sales in Asia-Pacific is expected to grow by ten percent by the year 2025, reaching 61 percent which is the largest expected increase among other regions. In contrast, e-commerce share of retail [...] [Read more](#)
Note(s): Worldwide; October 2020
Source(s): Edge by Ascential

Definitions

Distribution is the process of making a product or service available for use or consumption by a consumer or business user, using direct means, or using indirect means with intermediaries.

A **distribution channel** system is the particular set of independent organizations involved in the process of making a product or service available for use or consumption.

Intermediaries: Intermediaries — such as wholesalers and retailers — buy, take title to, and resell the merchandise; they are called **merchants**. Others — brokers, manufacturers' representatives, sales agents — search for customers and may negotiate on the producer's behalf but do not take title to the goods; they are called **agents**.

Facilitators: transportation companies, independent warehouses, banks, advertising agencies etc. assist in the distribution process but neither take title to goods nor negotiate purchases or sales; they are called facilitators

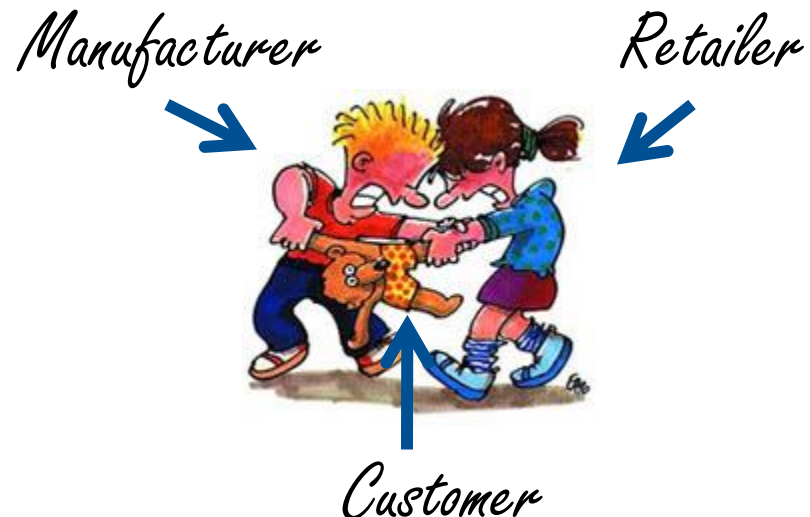
Distribution goals

- Reduce distribution costs / increase margin
- Increase market coverage
- Use a distribution channel's image
- Collaboration with intermediaries
- Increase flexibility and control over distribution channels

→ **Important: Goals must be in line with the other marketing goals as well as corporate goals.**

Causes of conflict:

- Differences in purchasing power
- Information asymmetries
- Conflicting goals
- Conflicting expectations



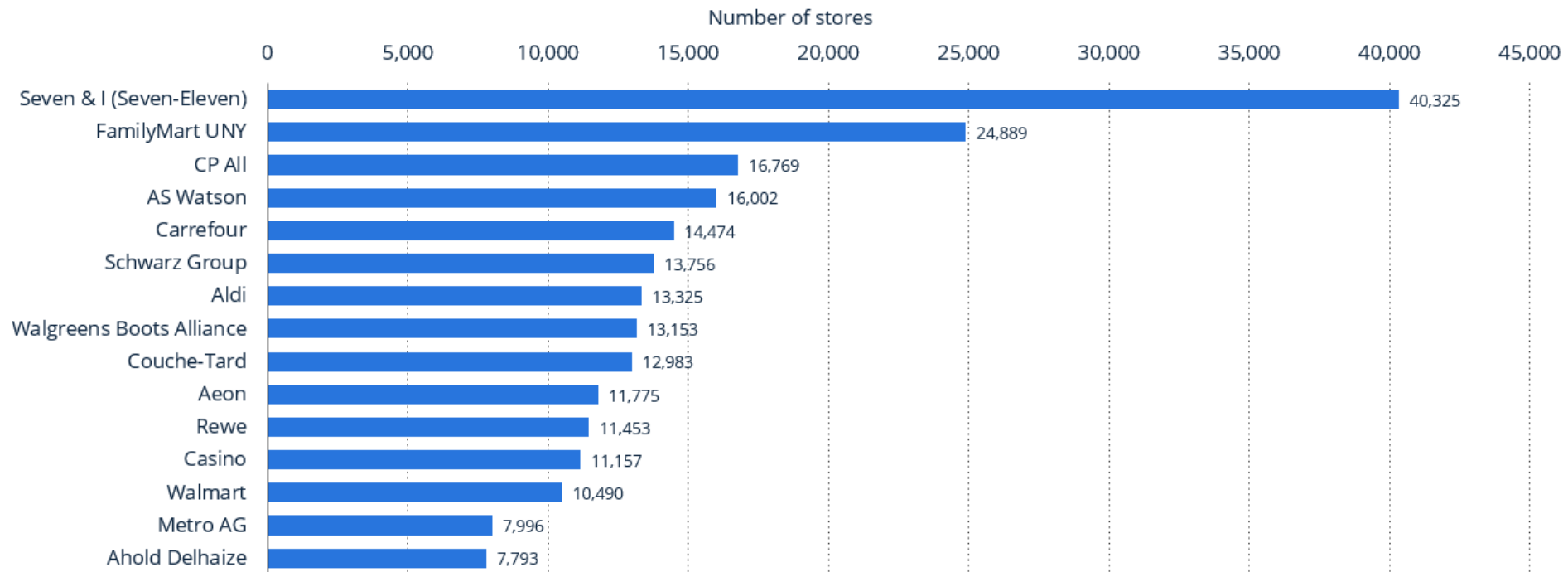
Conflicting goals

	Manufacturer	Retail
Product policy goals	• product and brand image	• image of the assortment • support the retail brand and own private label brands
Distribution goals	• few, large deliveries • high market coverage • distribute as many product variants as possible	• just in-time delivery • exclusive distribution • focus on selected products
Communication goals	• brand loyalty and differentiation	• retailer loyalty and retail differentiation • Promote complementary products of different brands
Price policy goals	• identical prices • low retailer margin	• differentiation based on prices • high retailer margin

Market concentration (fast moving consumer goods) – Top 10 Global Retailers in 2021:

	Total company revenue (billion US\$)
Walmart	\$538.15
Amazon.com	\$330.20
Schwarz Group	\$158.58
Aldi	\$134.67
Costco	\$187.16
Ahold Delhaize	\$93.20
Carrefour	\$105.42
IKEA	\$52.21
Seven & I	\$97.08
The Home Depot	\$142.27

Leading retailers worldwide in 2022, by total number of stores



Description: Seven & I Holdings, the parent company of the 7-Eleven retail chain, had a total of over 40,000 retail stores in operation throughout the world in 2022. 7-Eleven are a chain of convenience stores which operate in many countries globally. That year, Seven & I had more retail stores than any of the world's other leading retail companies, such as Walmart, which had nearly 10,500 retail outlets or the Schwarz Group with some 13,750 stores. Although, Walmart was not the company with the [...] [Read more](#)

Note(s): Worldwide; 2022; Top 15 global retailers based on Stores ranking

Source(s): Kantar; National Retail Federation

Market concentration (fast moving consumer goods)

MANUELSTREIT

Was hinter dem Nestlé-Boykott durch Edeka steht

Edeka boykottiert eine Reihe von Nestlé-Produkte. Hinter dem Streit steht ein europäisches Einkaufsbündnis – und dessen aggressiver Chef.



Christoph Kapalschinski

19.02.2018 - 10:14 Uhr • 1 Kommentar • 1 x geteilt



Ob Maggi oder Nescafé – Edeka boykottiert Nestlé-Produkte



Preiskampf

Kaufland entfernt alle Unilever-Produkte aus dem Angebot

Der Streit zwischen Kaufland und Unilever eskaliert. Weil der Lebensmittelkonzern angeblich zu hohe Preise verlangt, nimmt die Handelskette Marken wie Knorr, Pfanni oder Lipton aus dem Sortiment.



Kaufland-Filiale (Archiv)

imago/ Manfred Segerer

Market concentration (fast moving consumer goods)



The screenshot shows the official website of the Bundeskartellamt (Federal Cartel Office). The header includes the logo, navigation links (Über uns, Fusionskontrolle, Kartellverbot, Missbrauchsaufsicht, Wirtschaftsbereiche, Vergaberecht, Internationales), and a search bar. The main content area features a news article titled "Bundeskartellamt prohibits takeover of Kaiser's Tengelmann by EDEKA" dated 01.04.2015. The article text discusses the prohibition of the acquisition of around 450 Kaiser's Tengelmann outlets by EDEKA, citing concerns about competition conditions and the elimination of a competitor. It also mentions the impact on procurement markets and the need for competition problems to be solved.

Bundeskartellamt

Offene Märkte | Fairer Wettbewerb

Suchbegriff

Über uns Fusionskontrolle **Kartellverbot** Missbrauchsaufsicht Wirtschaftsbereiche Vergaberecht Internationales

Service

- RSS-Feed
- Kontakt
- Bürgertelefon
- Publikationen
- Bibliothek
- Presse
- Besuchergruppen
- Twitter
- Karriere
- Links & Adressen

Startseite » News

Bundeskartellamt prohibits takeover of Kaiser's Tengelmann by EDEKA

Date of issue: 01.04.2015

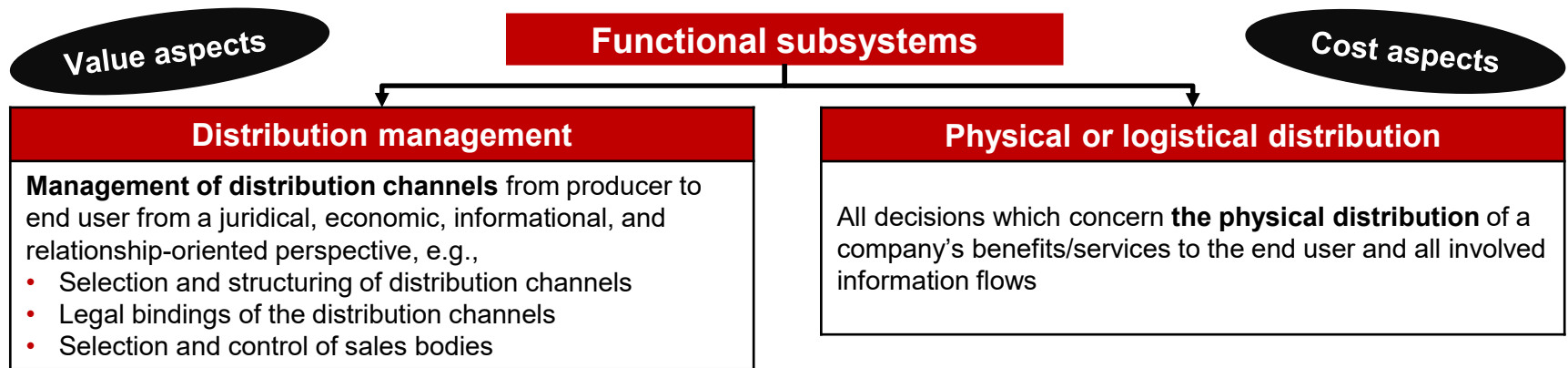
The Bundeskartellamt has prohibited the acquisition of around 450 Kaiser's Tengelmann outlets by EDEKA. In the authority's view the project would have considerably worsened competition conditions on a large number of highly concentrated regional markets and in municipal districts in greater Berlin, Munich, Upper Bavaria and North Rhine-Westphalia. The takeover of Kaiser's Tengelmann would have greatly limited choice for local consumers and the possibilities for them to switch to another retailer. The elimination of an important competitor would also have given the remaining competitors greater leeway for raising prices in future.

The project would have also caused competition problems in the procurement markets. If the merger had been implemented, manufacturers of branded products would have lost an important independent buyer. The strong bargaining power of the leading group of retailers consisting of EDEKA, REWE and the Schwarz group with Kaufland and Lidl in the procurement of branded products, in particular, would have further increased compared to that of their competitors.

The compromise proposals (so-called commitments) submitted by the parties following the Bundeskartellamt's statement of objections (see [press release of 17.02.2015](#)) were not adequate to solve the competition problems on the markets affected.

In evaluating the merger project the Bundeskartellamt has taken all the distribution channels in the food retail sector into consideration, from full-range retailers such as REWE and EDEKA to hard discounters such as Aldi. It has defined the markets as local or regional depending on consumers' buying behaviour. In the large cities the actual competition situation was also determined in the city districts and townships. The investigation revealed that with market shares of between 10 and nearly 30% Kaiser's Tengelmann is an important competitor in nearly all the regional market areas affected and, to the advantage of a potential acquirer, has a valuable network of outlets. The extensive enquiries have shown that the planned takeover would significantly reduce competitive pressure in a large number of market areas. In some cases it would have further strengthened Edeka's leading market position. But also in local and regional market areas, in which not EDEKA but its close competitor REWE is the leading supplier, the merger was likely to significantly impede effective competition because of the very similar distribution concepts as seen from the consumer's perspective and the competitive closeness of the suppliers.

Distribution management versus logistics

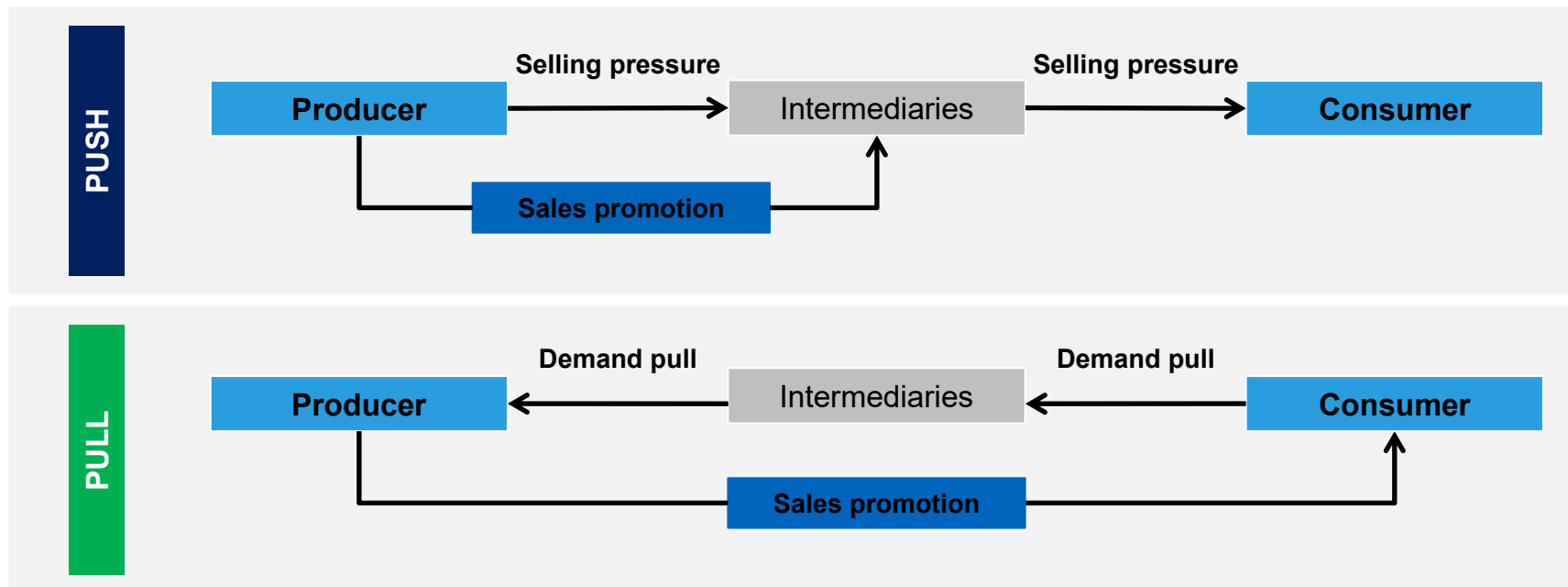


Fundamental decisions when it comes to distribution

- Establishing and managing distribution systems
- Usage of sales bodies
- Design of logistical system

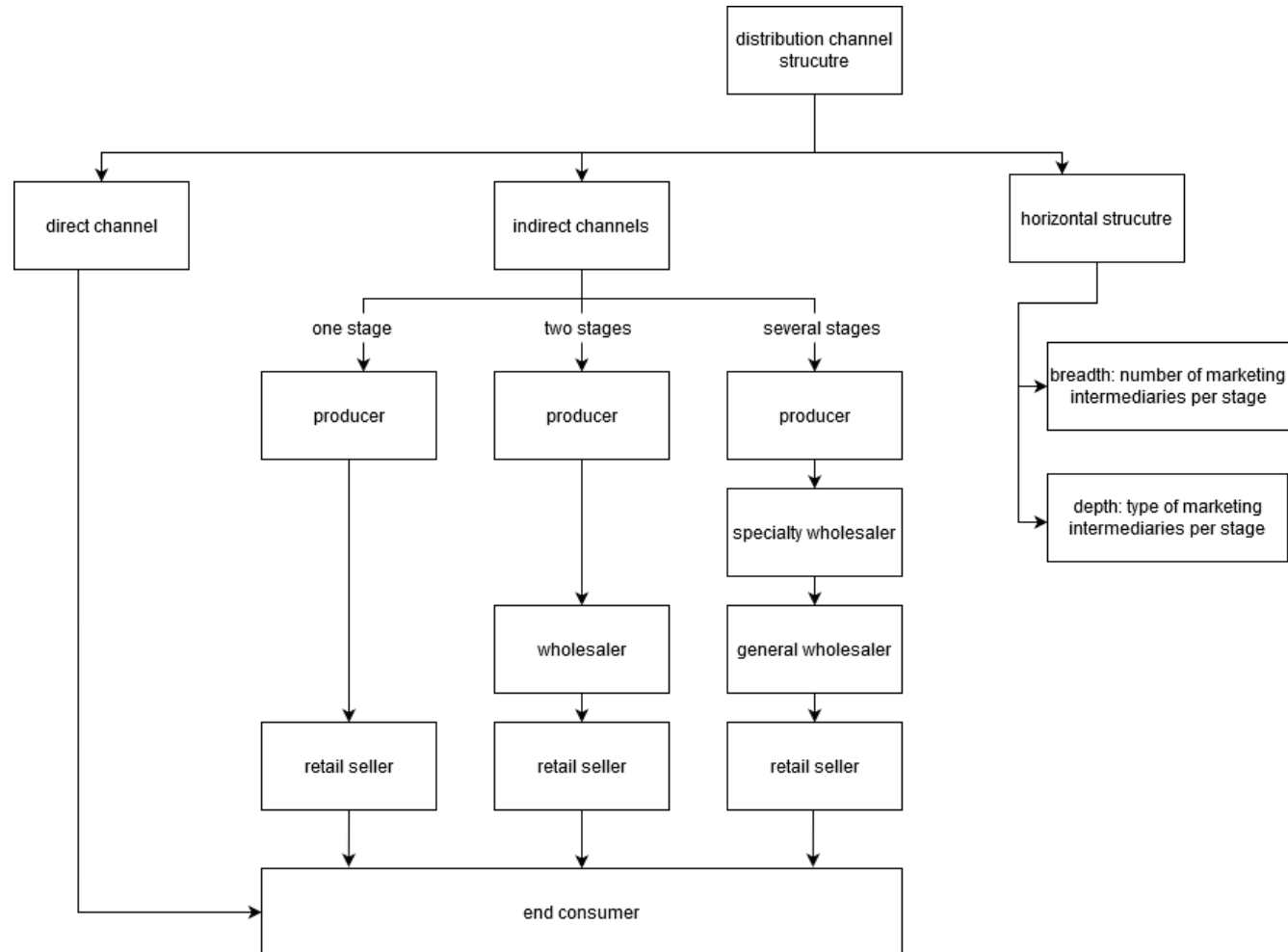
Designing distribution systems

Push- versus pull-strategies

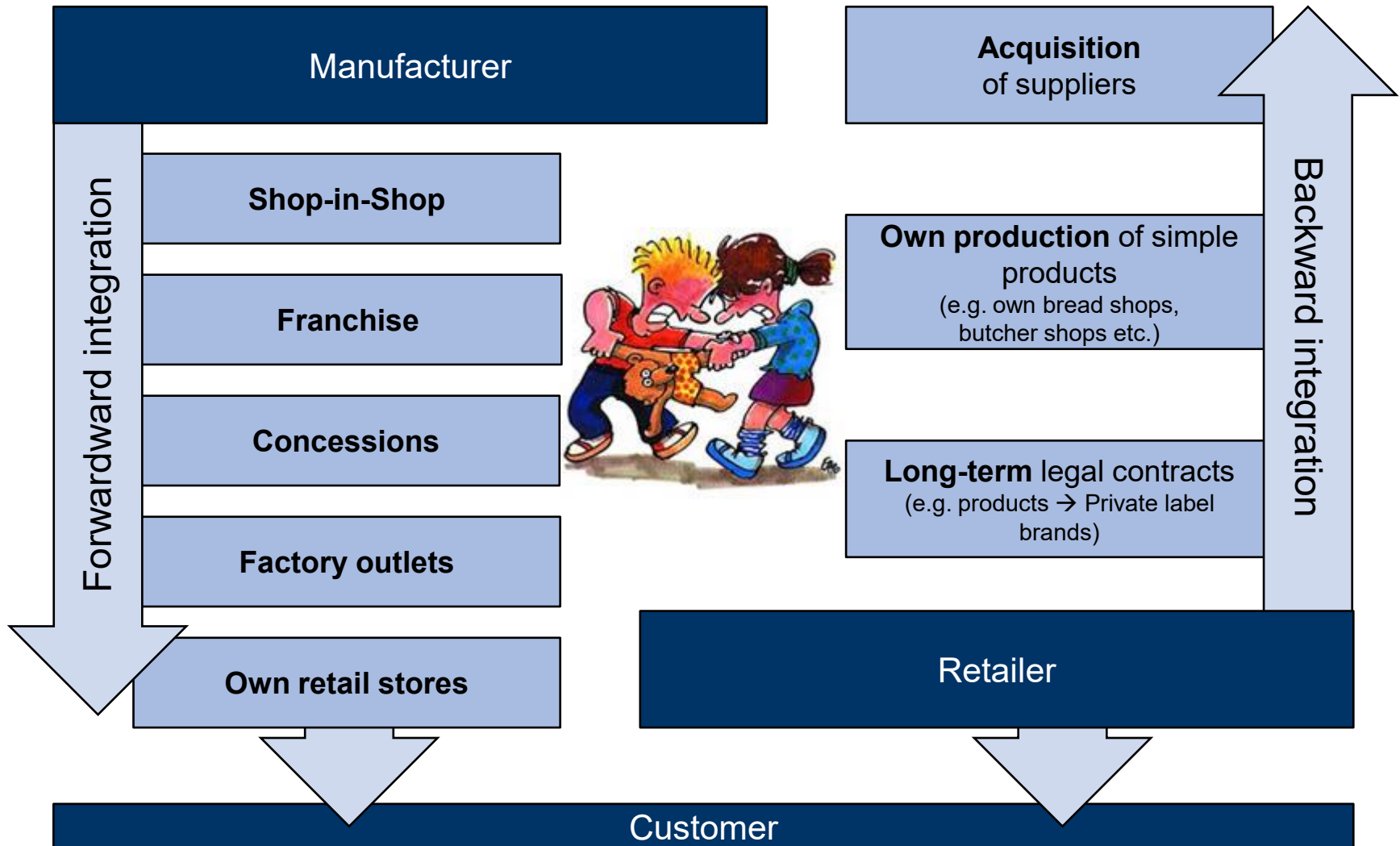


Kotler/Bliemel 2001; Bruhn 2012

Designing distribution systems – Direct versus indirect distribution



Vertical structure: Business models



Vertical structure: Business models

Concessions



Factory outlets



Own retail stores



Fifth Avenue

In the city that never sleeps, there's a store that never stops. Visit the Apple Store, Fifth Avenue, right here in Midtown, 24 hours a day, 365 days a year to see and test-drive the latest Apple products.

Vertical structure: Business models

Private label brands

Handelsblatt

EDEKA, LIDL UND ALDI

Der Siegeszug der Eigenmarken

Mit ihren Eigenmarken sichern sich die Handelsketten einen immer größeren Anteil des Marktes – und fordern die Markenhersteller heraus.

19.02.2018 - 08:02 Uhr • [Kommentieren](#) • [Jetzt teilen](#)



Horizontal structure

Intensive selling:

- High market coverage
- Products should be available everywhere (ubiquity)
- No qualitative or quantitative limitation concerning retailers

Selective selling:

- Manufacturer selects retailers based on certain quality criteria (e.g. retail format, service, expertise, marketing actions etc.)

Exklusive selling:

- Manufacturer relies on only very few selected partners
- Manufacturer is able to better control pricing and service levels
- Goal: ensure a certain product presentation and brand image (e.g. luxury products)

Why is the world's number one selling brand of chain saw not sold at Lowe's or The Home Depot?



We can give you 8,000 reasons, our legion of independent STIHL dealers nationwide. We count on them every day and so can you. To give you a product demonstration, straight talk and genuine advice about STIHL products. To

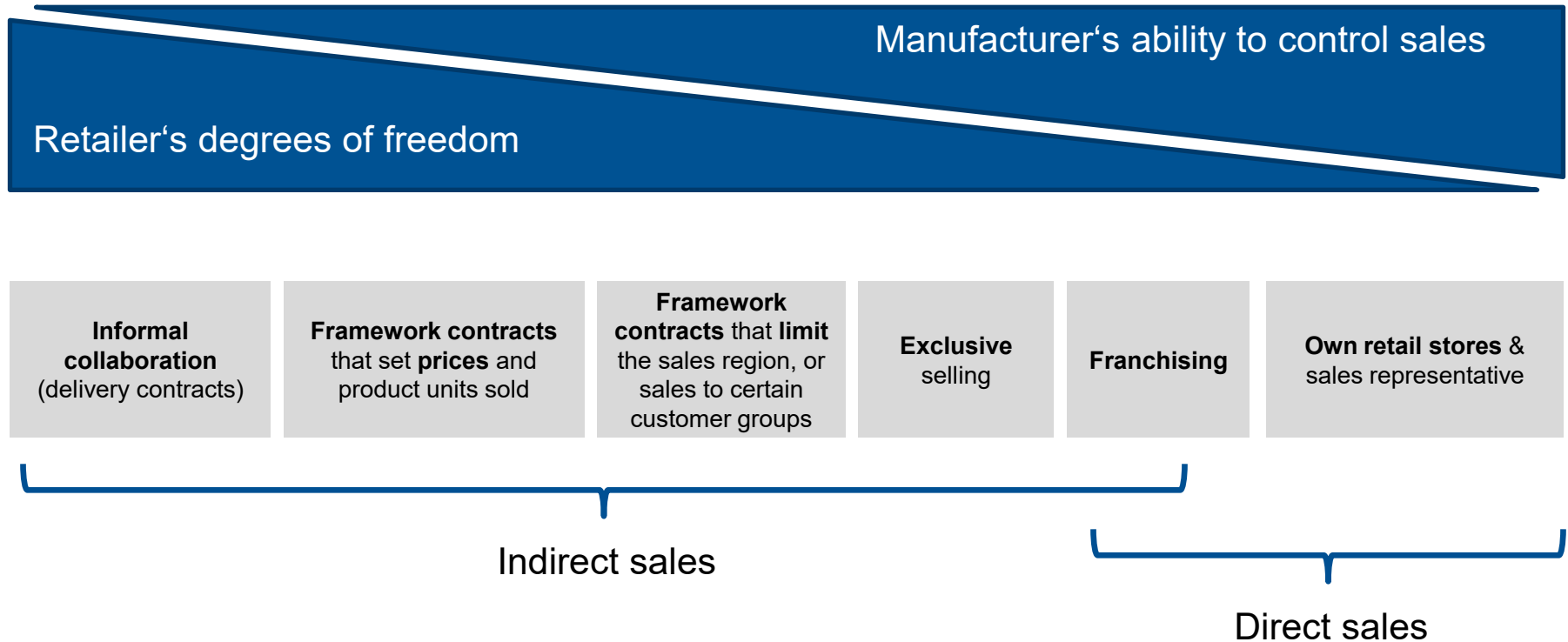
offer fast and expert on-site service. And to stand behind every product they carry, always fully assembled. You see, we won't sell you a chain saw in a box, not even in a big one. **Are you ready for a STIHL?**

To find a dealer: stihlusa.com or call 1-800 GO STIHL.

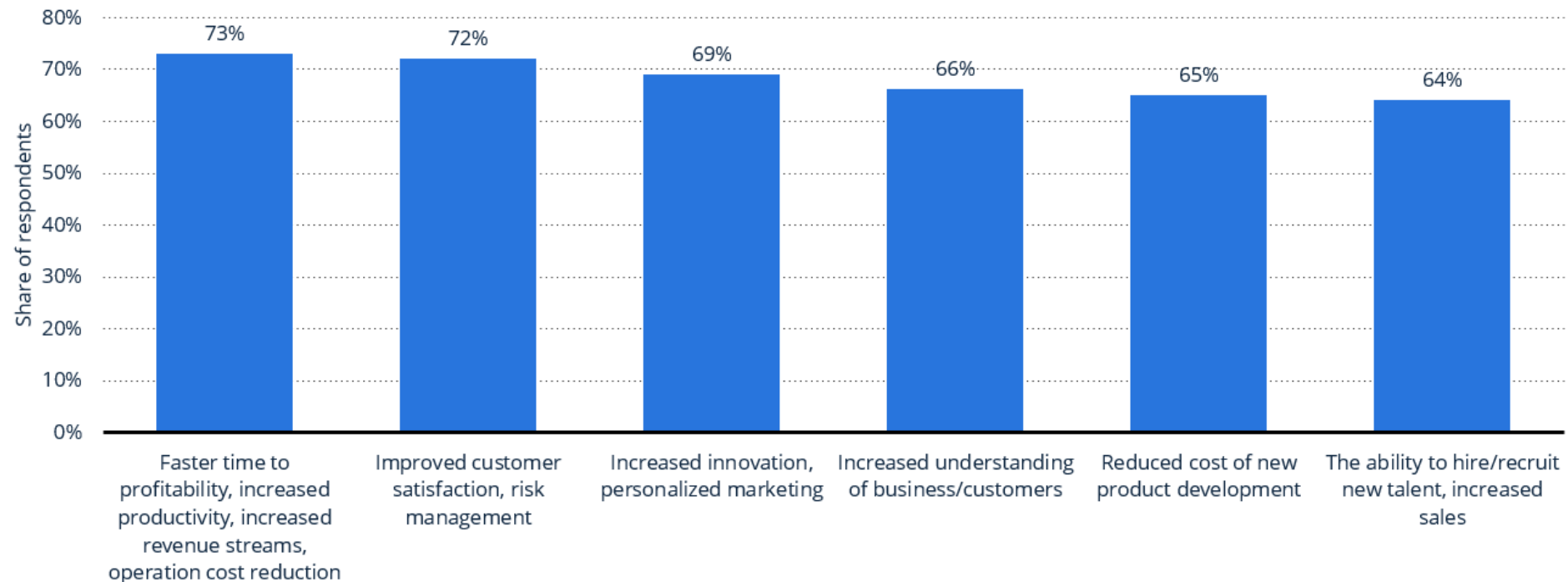
The Home Depot and Lowe's are registered trademarks of their respective companies.

Number 1 Worldwide **STIHL**

Contractual relationships

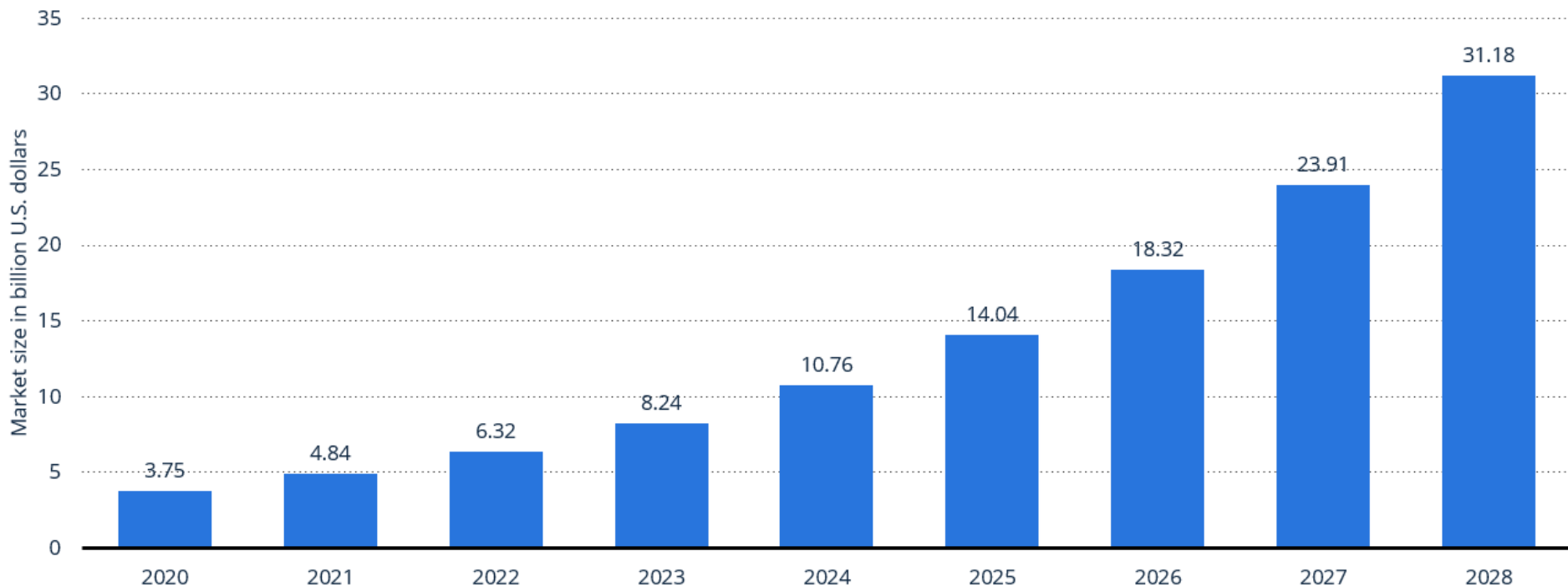


Business benefits of AI according to retail executives worldwide in 2023



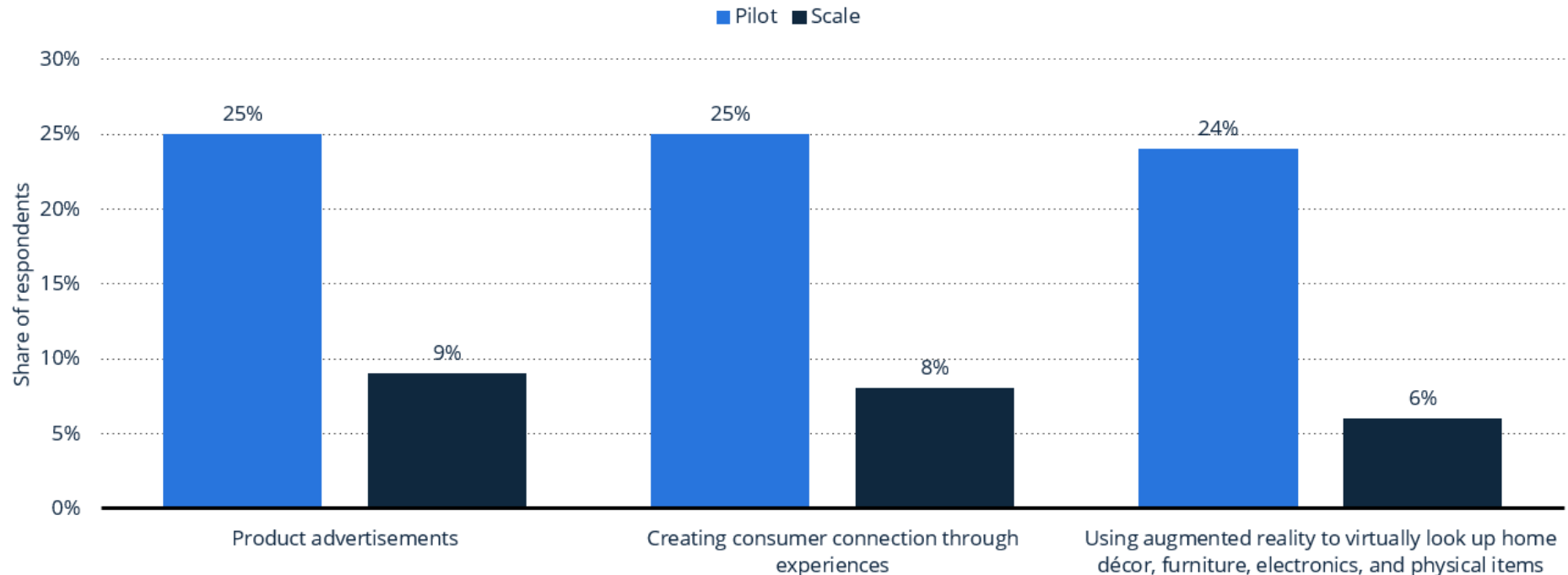
Description: The most important area where IT executives working in retail companies saw the biggest benefit of Artificial Intelligence (AI) was productivity, operational cost reductions, and faster time to profitability. According to the results of a survey conducted in February 2023, other areas such as customer satisfaction, risk management, and personalization were seen as key areas where businesses could benefit from AI. [Read more](#)
Notes(s): Worldwide; February 2023; 1,420 respondents; IT decision-makers across retail industries; * total number of respondents across manufacturing/logistics, retail, hospitality/travel, energy, healthcare/pharma/biomedical, government, [...] [Read more](#)
Source(s): Chain Store Age ; Rackspace

Size of the global Artificial Intelligence (AI) market in the retail industry in 2020, with a forecast from 2021 to 2028 (in billion U.S. dollars)



Description: The global market for the use of Artificial Intelligence (AI) in retail was valued about at 4.84 billion U.S. dollars in 2021. Over the next eight-year period, the market for AI in retail is estimated grow continually, reaching 31.18 billion U.S. dollars by 2028.
Note(s): 2019 to 2020
Source(s): Fortune Business Insights; Statista

Immersive technology use among consumer goods and retail companies worldwide in 2022, by use case and stage

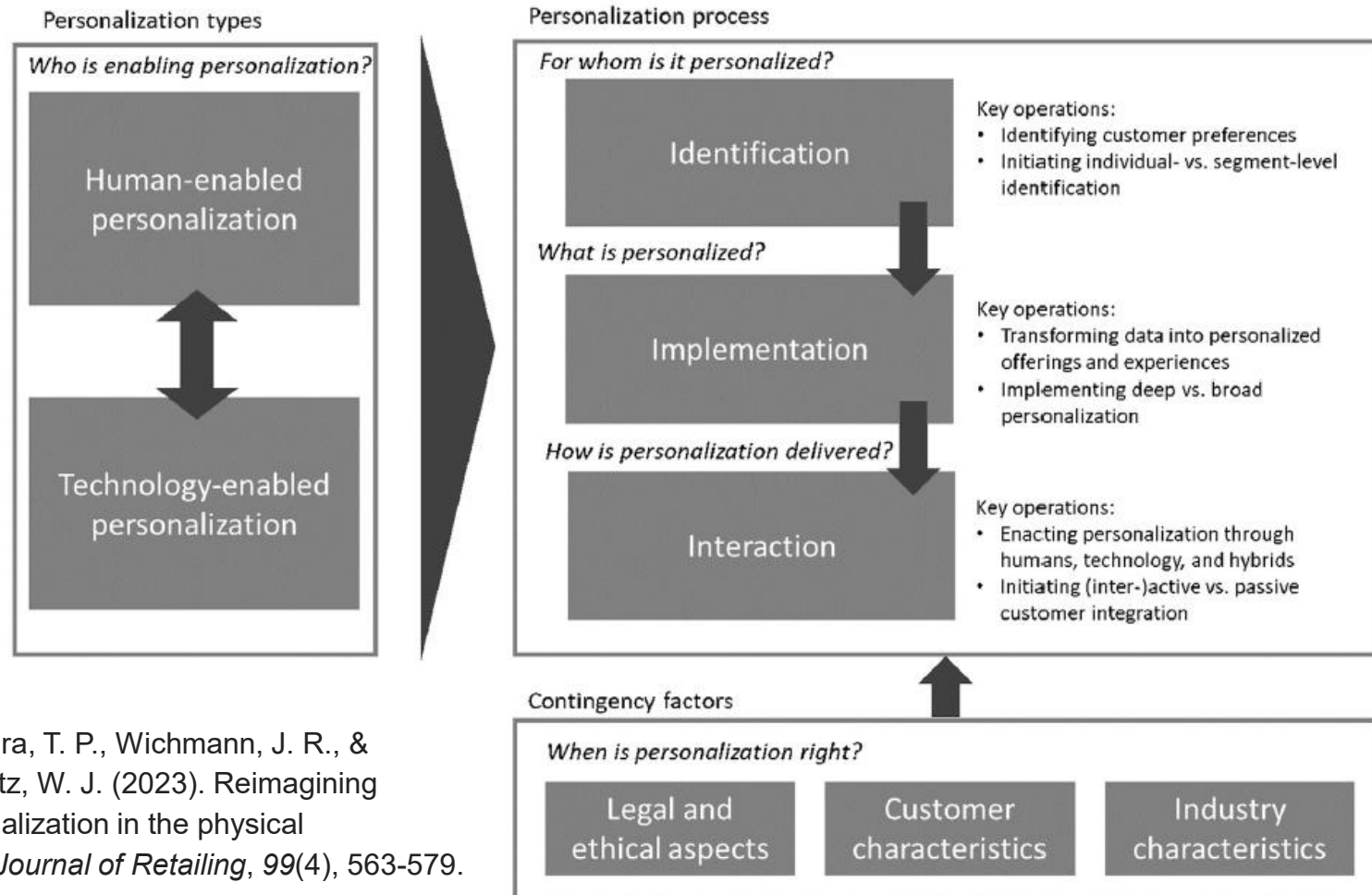


Description: According to the findings of a worldwide study conducted in 2022, less than 10 percent of companies in the consumer goods and retail industries were found to scale immersive technologies in their organizations. About a quarter of these companies were piloting such initiatives, such as using augmented reality to allow consumers to virtually look up products such as furniture and home décor. [Read more](#)
Note(s): Worldwide; July to August 2022; 1,000*. * Consumer goods and retail companies constituted 25 percent of the sample. Organizations surveyed in the study generated more than one billion U.S. dollars in annual revenue; and 80 percent of [...] [Read more](#)
Source(s): Capgemini

Personalization in physical stores



Personalization in physical stores



Scholdra, T. P., Wichmann, J. R., & Reinartz, W. J. (2023). Reimagining personalization in the physical store. *Journal of Retailing*, 99(4), 563-579.

Personalization in physical stores

Table 1
Characteristics of human- and technology-enabled personalization.

Human-enabled personalization	Technology-enabled personalization
<i>Description:</i> • Based on sales staff's knowledge, intuition, and interpersonal skills to understand and respond to individual customer preferences. • Sales associates may engage in conversations with customers to gather information about their needs, preferences, and shopping history. • Often involves face-to-face interactions, where sales associates make recommendations and suggestions based on their understanding of the customer's style, taste, and requirements. • Provides a highly personalized and empathetic shopping experience. <i>Strengths:</i> • Human touch and empathy can create a unique and memorable shopping experience. • Sales associates can adapt to complex and unique customer needs that technology may struggle to understand. <i>Weaknesses:</i> • Limited scalability as it depends on the availability and expertise of sales staff. • Inconsistency in the quality of personalization from one employee to another.	<i>Description:</i> • Relies on data collection, analysis, and automation to deliver tailored recommendations and experiences. • Technologies such as customer relationship management (CRM) systems, customer analytics, and artificial intelligence (AI) are used to collect and process customer data. • Personalized recommendations through technologies like mobile apps, in-store kiosks, or digital signage. • Provides scalable personalization and relevant product suggestions and promotions based on a customer's offline and online behavior. <i>Strengths:</i> • Scalable and can reach a larger customer base. • Can analyze vast amounts of data to make data-driven recommendations. • Consistency in personalization across different touchpoints. <i>Weaknesses:</i> • May lack the human touch and emotional connection that some customers seek. • Privacy concerns and potential for data misuse if not handled responsibly.

Scholdra, T. P., Wichmann, J. R., & Reinartz, W. J. (2023). Reimagining personalization in the physical store. *Journal of Retailing*, 99(4), 563-579.

Personalization in physical stores

Table 2
Examples of personalization in physical retailing.

Example	Personalization type and description
Nordstrom personal stylist (Nordstrom 2023)	• Human-enabled • Styling services to fit everybody — from high-touch to low-touch, quick fashion advice or a whole new wardrobe, in-store (and online).
Levi's Tailor Shop (Braun 2018)	• Human-enabled • Offering custom embroidery, tailoring, hemming, and a selection of pins and patches to personalize denim pieces with the help of specialized craftsmen.
Apple (Future Stores 2023)	• Human-enabled • Apple Store associates are trained to walk customers through five distinct service steps.
Sephora Color IQ (Milnes 2016)	• Technology-enabled (low technological/high human contribution) • Employees are equipped with a handheld device that measures a person's exact skin tone to find the best product match for their complexions.
OBI's heyOBI app (OBI 2023)	• Technology-enabled (low technological/high human contribution) • Registered users of the app receive digital advice from specialist advisors, inspiration, and numerous tips and tricks around the house and garden.
H&M COS stores (Wright 2022)	• Technology-enabled (high technological/low human contribution) • Smart mirrors in fitting rooms capture product data (size, color) to provide individual styling and product recommendations.
LoweBot (Morgan 2020)	• Technology-enabled (high technological/low human contribution) • Autonomous service robot allows speech- or text-based interaction for in-store navigation and checking product availability.
Superfeet (Superfeet 2023)	• Technology-enabled (high technological/high human contribution) • Employees use biometric data to create 3D-printed, personalized insoles made to match the shape of each customer's foot.
IKEA kitchen planer (IKEA 2023)	• Technology-enabled (high technological/high human contribution) • Allows customers to create 3D-models of kitchens, experts are on hand to provide advice and check plans that have been created.

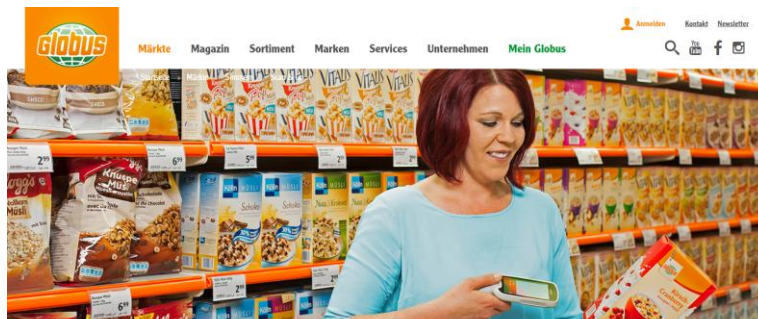
Scholdra, T. P., Wichmann, J. R., & Reinartz, W. J. (2023). Reimagining personalization in the physical store. *Journal of Retailing*, 99(4), 563-579.

New concepts for physical stores

Scan&Go

(self-service checkout systems)

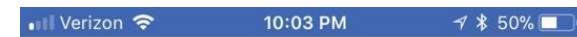
Ikea,
Globus (Germany),
Maxi Stores (Sweden),
Migros and Coop (Switzerland),
Walmart (USA)



Ihre Vorteile

Holen Sie sich jetzt Ihre eigene Kundenkarte für Scan & Go und genießen Sie die Vorzüge bequemen Einkaufens!

- Schneller und bequemer Einkauf
- Kein Aus- und Einräumen an der Kasse
- Jederzeit den Überblick über den Einkaufswert
- Bezahlung in bar, mit EC- oder Kreditkarte



Walmart Findlay - Tiffin Ave

Yesterday at 11:03 AM · 🌐



New from your Tiffin Avenue Walmart only!

Scan & Go is one of many options we're testing to give our customers the shopping experience they are looking for. We continue to listen, test and learn – all to give our customers more options to shop how they want while also helping them save time.

Not only does Scan & Go save time by letting people skip the register, it also helps make staying on budget easier. Customers see the price of individual items as they scan them along with a running total.



👍 🤖 ❤️ 44

40 Comments 15 Shares

New concepts for physical stores



"Just Walk Out" technology:

For customers, it's simple: Scan your Amazon Go app as you walk into the store, pick up whatever you want, and simply walk out.

On the back-end, Amazon's technology detects everything you're taking or returning to shelves, and keeping track in a virtual shopping cart. When you walk out, Amazon charges your account and sends a receipt.



New concepts for physical stores – Cashierless kiosks



shop.box and collect.box (Heilbronn, 2021)



<https://www.tegut.com/teo.html>

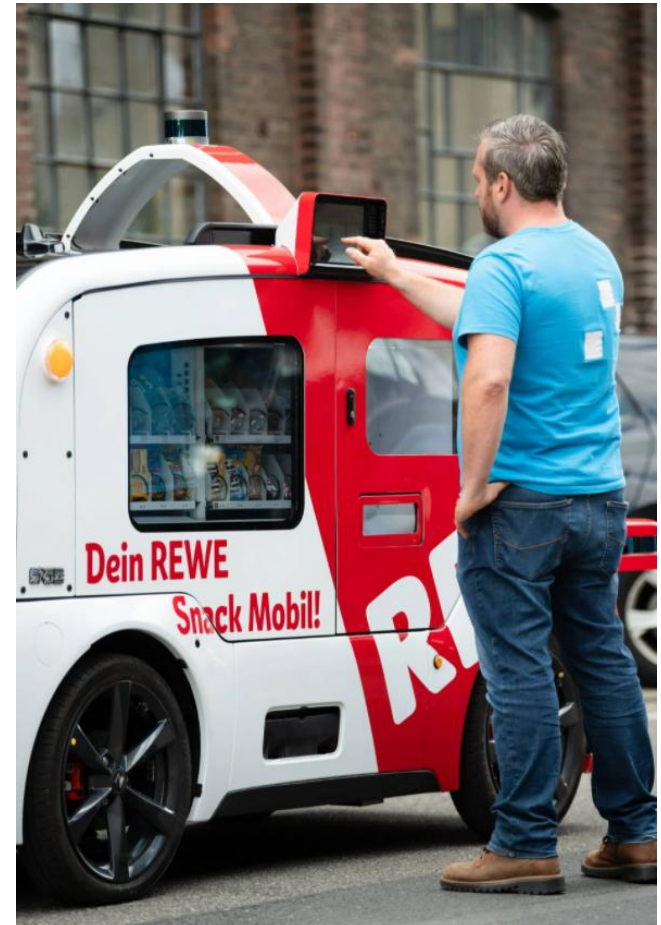
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<https://www.heise.de/news/Bahn-testet-Roboter-Supermarkt-am-Bahnhof-5059153.html>

<https://www.rewe-group.com/de/presse-und-medien/newsroom/pressemitteilungen/so-einfach-wie-nie-zuvor-rewe-testet-neue-wege-des-lebensmitteleinkaufs/>

<https://www.heise.de/news/Handelsketten-testen-Supermarkt-der-Zukunft-ohne-Kassen-ohne-Personal-6130322.html>

New concepts for physical stores – Rewe Snack Mobil



https://rp-online.de/nrw/staedte/koeln/koeln-rewe-testet-snack-mobil-im-carlswerk_bid-60873279#5

New concepts for physical stores – Delivery services

Dr Oetker acquires German drinks delivery startup flaschenpost for €1 billion



Factors that influence retailer choice

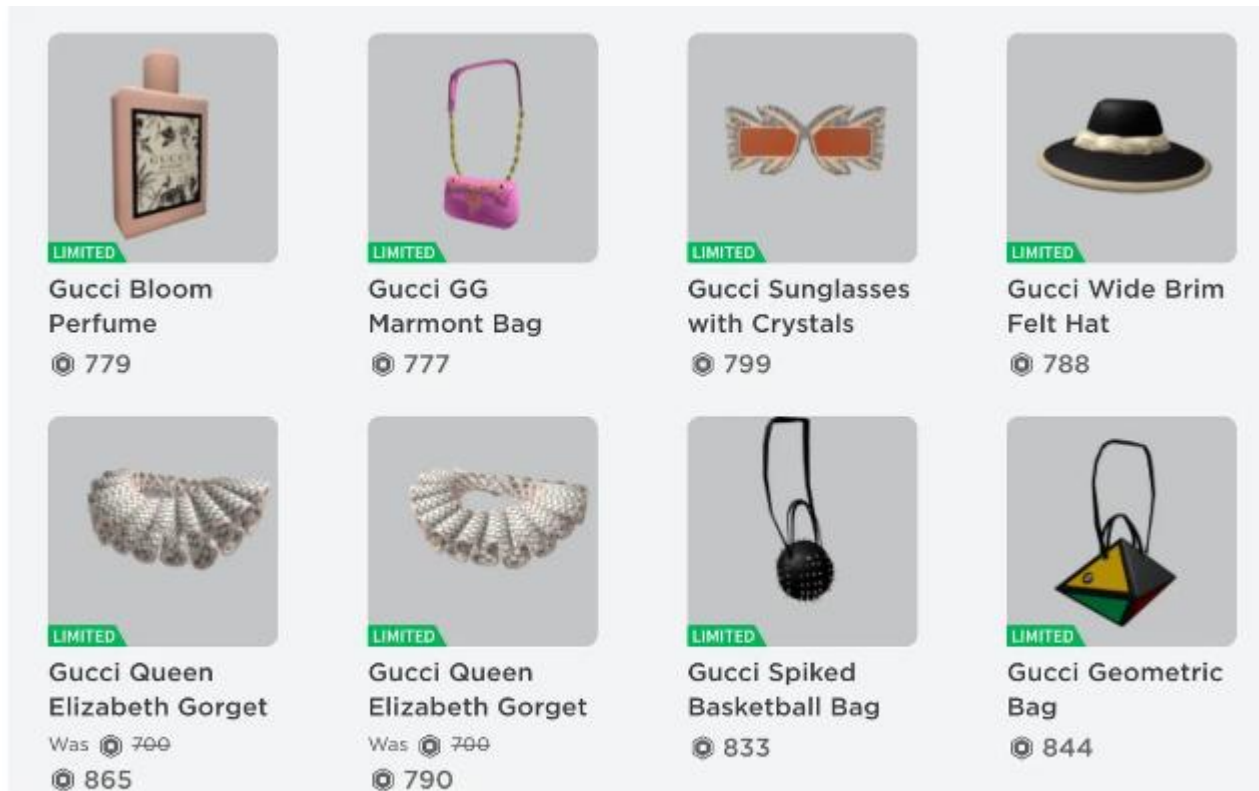
Shoppers' retail choice is influenced by the following factors (in order of importance):

- assortment (assortment should be large enough... but too much choice effect),
- service,
- product quality,
- store atmosphere,
- store location, price level,
- checkout speed,
- hours of operation,
- friendliness of salespeople,
- and parking facilities.

The frequency of visits to a store is subject to the influence of

- store attitude,
- store image, and
- gender.

New retail channels: Why do consumers buy in the Metaverse?



Developer Rook Vanguard created virtual accessories for Gucci in Roblox.

Screenshot from Roblox

New retail channels: Why do consumers buy in the Metaverse?

Table 1
Representative metaverse platforms.

	Roblox (2006)	Minecraft (2009)	Sandbox (2012)	Fortnite (2017)	Zepeto (2018)
Developer (Country)	Roblox Corporation (US)	Mojang Studios (Sweden)	Pixowl Inc. (US)	Epic Games (US)	Naver Z (South Korea)
Monthly Active Users (MAU)	202 million	141 million	1 million	83 million	20 million
Features					
Games	✓	✓	✓	✓	✓
User-created games and virtual products	✓	✓	✓	✓	✓
In-game chat (text & voice)	✓	Text only	Text only	✓	✓
Share function to social media	• Share link • Adding accounts on profile	• Share link	• Adding accounts on profile	• Share link • Adding accounts on profile	• Share link • Cross-posting • In-app Feed
Avatar					
Default character	Block-like/ Human-like	Block-like	Block-like	Human-like	Human-like
Customization level	High	Moderate	Moderate	High	High
Humanoid	✓	–	–	✓	✓
Other object/ creation-like	✓	✓	✓	✓	✓
In-game currency	Robux	Minecoin	SAND (blockchain)	V-Bucks	ZEM

*Note: The number of MAU is as of 2021.

Ahn, S., Jin, B. E., & Seo, H. (2024). Why do people interact and buy in the Metaverse? Self-Expansion perspectives and the impact of hedonic adaptation. *Journal of Business Research*, 175, 114557.

New retail channels: Why do consumers buy in the Metaverse?

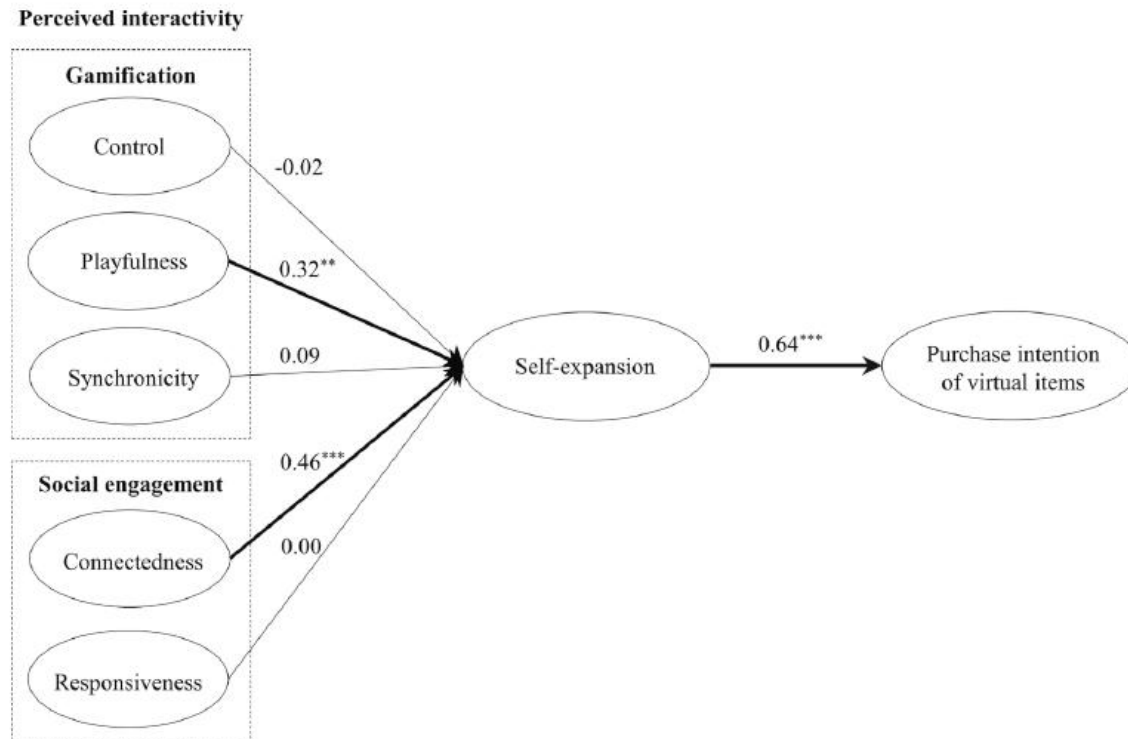


Fig. 2. The results of structural equation modeling. **Note.** Bold lines represent significant effects; Dotted lines represent insignificant effects. Control variables = age, gender, and education level. Sample size = 248.

Ahn, S., Jin, B. E., & Seo, H. (2024). Why do people interact and buy in the Metaverse? Self-Expansion perspectives and the impact of hedonic adaptation. *Journal of Business Research*, 175, 114557.

Data collection methods for tracking in-store shopping behaviours

Table 1

Comparison of some data collection methods for tracking in-store shopping behaviours: strengths and weaknesses.

Method	Strengths	Weaknesses
Surveys	• Low cost • Easy to administer • Flexible analysis	• Rely on memory/perceptions • Prone to bias
Manually tracked observations	• Capture actual behaviours • Context rich	• Labour intensive • Limited detail
RFID Tracking	• Large data sets • Automated tracking	• Imprecise (when shoppers leave carts) • Limited to cart movement behaviours
Video/CCTV monitoring	• Behaviour tracking • Spatial patterns	• Complex video synchronisation • Privacy concerns
Eye-tracking –Screen-based lab studies	• Controlled setting • Easier analysis compared to ambulatory eye-tracking	• Forced exposure • Less realism
Eye-tracking –VR-based lab studies	• Controlled setting • Easier analysis compared to ambulatory eye-tracking • Better realism for bricks-and-mortar simulations than screen-based	• Resource-intensive VR simulations • Lacks input from senses other than vision • Artificial
Eye-tracking – Field studies	• Precise attention data • Authentic behaviours • Context rich	• Costly equipment • Time-consuming data collection and analysis • Sample size limitations

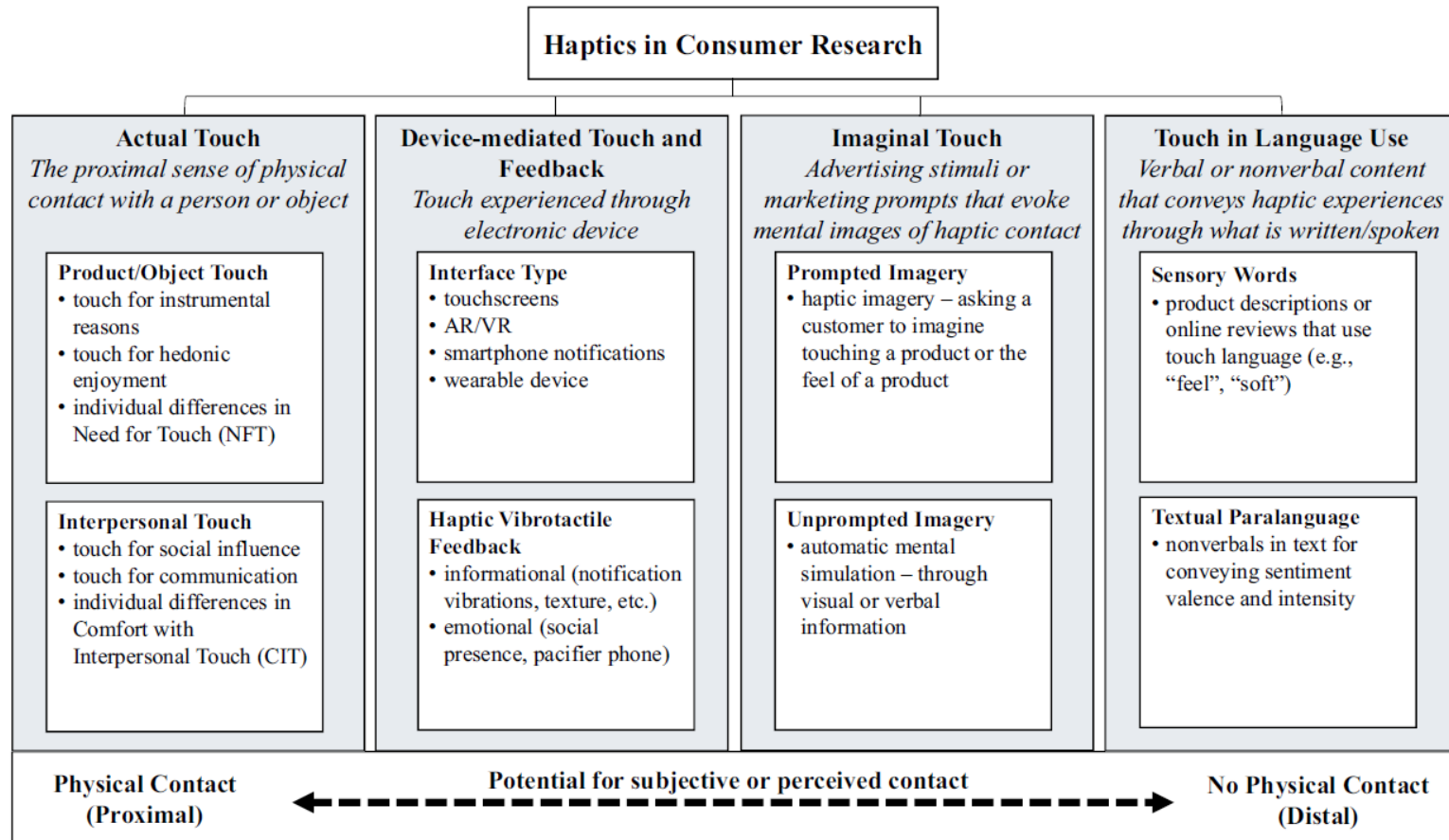
Nordfält, J., & Ahlbom, C. P. (2024). Utilising eye-tracking data in retailing field research: A practical guide. *Journal of Retailing, forthcoming*.

Understanding the role of consumer touch



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